Permanent Magnets Ltd

Concall tracker, Q2 FY27 (filed under Q2-2027). Mumbai maker of magnets, current-sensing parts (shunts) and assemblies for electric cars, electricity meters and cars, now adding special alloys, meter relays and rare-earth magnets.

1. Snapshot

Number	Value	Plain read
Market cap	₹1,019 cr	A small company by market value.
Stock P/E	38	Buyers pay about 38 rupees per rupee of yearly profit. Not cheap for a business whose profits swung a lot.
Sales, last 12 months	₹259 cr	Up from ₹200 cr in FY25. Growth came back only in the last three quarters.
Q2 FY27 sales	₹72.5 cr, up 49% on last year	Best quarter in years, led by EV parts for Western carmakers.
Q2 FY27 operating margin	25% (14% a year ago)	It keeps about a quarter of sales as operating profit. Export EV parts earn the fattest margins.
Borrowings (Sep 2026)	₹40 cr	Doubled in two years to fund the furnace, relay plant and land. Still small against profit.
Return on capital (ROCE)	18%	Decent, below its own peak years.

2. Concall coverage

Quarter	Call date	Transcript read?
FY23 (H2)	May 2023	Yes (skimmed)
H1 FY24	Nov 2023	Yes (skimmed)
FY24 (H2)	May 2024	Yes (skimmed)
H1 FY25	Nov 2024	Yes (skimmed)
FY25 (H2)	28 May 2025	Yes
H1 FY26	14 Nov 2025	Yes
FY26 (H2)	May 2026	Yes
Q2 / H1 FY27	24 Oct 2026	Yes, read in full ★

The company holds calls twice a year, so eight calls cover about three and a half years.

Latest concall highlights: Q2 FY27 (24 Oct 2026)

- Sales up 49% to ₹72.5 cr and operating profit up 159% to ₹17.8 cr. Two or three Western EV customers ordered more, mostly for export.
- Full-year growth guide now 20% to 30%, carried by EV parts. Margin guide for FY27 is 20% to 25%, up from the old 15% to 18% range.
- Alloys: the new furnace had breakdowns, so FY27 alloy sales fall to about ₹40-50 cr from the 3x to 4x jump hoped for earlier. It even paid customers for late deliveries.
- Relays slipped again: pilot lots in H2, real sales only in FY28. Quantum Magnetics (rare-earth magnet joint venture) finished its Phase 2 line in October but expects no revenue this year.
- Quantum Magnetics got approval under the government's ECMS electronics scheme, which pays back 25% of machinery capex if conditions are met.

Business mix & capacity

Domestic vs export: 51% domestic / 49% export in Q2 FY27. Roughly half of sales leave India, mainly EV parts for Western carmakers. Management expects domestic share to rise as alloy sales grow.

Capacity: the new alloy furnace ran at about 80-90% in Q4 FY26, then lost months to breakdowns. A single new plant to replace rented sites is about two years away after land disputes.

3. Earning trigger thesis

Right now the money comes from one place: EV parts for Western carmakers, which came roaring back this quarter after two weak years. Management's longer story is three new businesses that make PML less dependent on a few customer-designed parts: special alloys for oil and gas and aerospace, latching relays for smart electricity meters, and rare-earth magnets through Quantum Magnetics. All three keep running late. The EV rebound is real but management admits it has no forecast past March 2027.

Trigger	What management said	Evidence so far	Time horizon	Strength
EV parts demand	Customers' forecasts hold at current levels for H2 FY27	Q2 sales up 49%, margin 25%	H2 FY27; FY28 unknown	Moderate. Real now, no visibility beyond the year
Special alloys	3x to 4x FY26 sales in FY27	Cut to ₹40-50 cr after furnace breakdowns; oil and gas, aerospace orders in hand	FY27 to FY28	Weak. Slower than promised two years running
Latching relays	Production from H2 FY26, then H2 FY27	Pilot lots H2 FY27, sales FY28	FY28	Unproven. Repeated slips
Quantum Magnetics	₹5-10 cr revenue in FY27	No revenue this year; Phase 2 line commissioned Oct 2026	FY28	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Debt has risen to fund projects
New business	Yes	Alloys, relays and modules: 'Some modules have started supplies to automotive' (Oct 2026)
Margin up	Yes	EBITDA margin 25% vs 14% a year ago from better mix and higher EV demand (Oct 2026)
New management	No	Not mentioned
New capacity	Yes	Quantum Magnetics Phase 2 commissioned in October 2026; new alloy furnace from Jan 2026
Big orders	No	No order book given; EV demand rests on customer forecasts
Turnaround	Yes	Growth back after FY25 and FY26 slump: 'great set of numbers after a long time' (Oct 2026)
Promoter buying	No	Promoter stake flat at about 58%

The single concrete driver: Higher orders from existing Western EV customers lifted sales and margins, while the alloy, relay and rare-earth magnet projects are still ramping or waiting for approvals.

3c. Margin bridge

Operating margin jumped to 25% from 14% a year ago and 19% last quarter. The reason is mix: export EV parts carry far better margins than domestic meter parts, and higher volumes spread fixed costs. Management says margins follow the mix and should be 20% to 25% for the year, lower in H2 as low-margin alloy sales grow. It depends on EV demand holding. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY25 (May 2024 call)	Alloys and smart meters drive FY25 growth	FY25 sales fell slightly; alloy offtake 'slower than our anticipation'	Missed
FY26 (May 2025 call)	Relay manufacturing starts H2 FY26; new furnace by Dec 2025	Furnace installed Jan 2026 (close); relays not started	Partly

FY26 (Nov 2025 call)	Relay trial orders in Q4 FY26	Pushed to H2 FY27	Missed
FY27 (May 2026 call)	Alloys 3x to 4x of FY26	Cut to about ₹40-50 cr after breakdowns	Missed
FY27 (May 2026 call)	Quantum Phase 2 in Q3/Q4 FY27; ₹5-10 cr revenue	Line commissioned Oct 2026 on time; revenue pushed to FY28	Partly
FY27	Growth guide 20-30%	H1 sales up about a third	Too-early

The EV parts business does what customers order, and management is candid that it can't forecast it. The new-business story has been steady in direction (alloys since 2024, relays since 2025, magnets since 2024) but the dates keep moving and the numbers keep shrinking. The tone this quarter was more honest than hopeful: the MD declined to give relay numbers for FY28 because 'it kept on getting delayed'.

5. Bottom line

Durable earning trigger? → MAYBE

This quarter's jump is real and came at high margins, but it rests on a handful of Western EV programs with no forecast past this year. The three new businesses that would make growth durable are all late and still tiny.

Management consistent? → MAYBE

Management is open about misses, but it has missed most of its new-project timelines for two years: alloys, relays and Quantum Magnetics all slipped at least once.

6. Checkpoints for next quarter

1. Alloy furnace runs without breakdowns and alloy sales rise in H2
2. First relay pilot lots ship to a meter maker
3. EV parts sales hold near Q2 levels in Q3 and Q4

This is not investment advice. Do your own due diligence.